



TREASURY MANAGEMENT

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PRODUCT BROCHURE · TREASURY MANAGEMENT

Zero Balance Accounts

Master-and-sub-account structure that concentrates all cash in a single master each night — ideal for divisional accounting, payroll segregation, franchise operations, and multi-entity organizations.

STRUCTURE	One master + 1-1,000+ zero-balancing sub-accounts
SUB-ACCOUNT COST	\$25 / month per sub-account
MASTER ACCOUNT	Cumulus Business Analyzed Checking (required)
ZERO-OUT TIMING	End of each business day
USES	Divisional · payroll · franchise · escrow · reserve
TRANSFER MECHANISM	Internal bookkeeping; no ACH / wire
REPORTING	Per-sub-account detail + master-roll-up
INTEGRATION	Sweep, lockbox, Positive Pay, ERP

AT A GLANCE

Overview

A Zero Balance Account (ZBA) structure links multiple sub-accounts — one per division, location, payroll group, or entity — to a single master operating account. Each sub-account is funded as needed during the business day to support its own activity (checks issued, ACH credits, card settlements). At end-of-day, Cumulus zeroes each sub-account: sub-account positive balances transfer to the master; sub-account debit balances (overdrafts) fund from the master. The master then holds the entire organization's cash, available for sweep into overnight investments. ZBA produces operational clarity (divisional-level accounting with separate check stock, ACH routing, and reporting) without the working-capital cost of keeping material cash balances in each sub-account.

WHY ZBA

Key benefits

SINGLE CASH POOL Single cash pool Concentrate all operating cash in the master at end-of-day — maximize invested balance for sweep and simplify liquidity management.	DIVISIONAL / ENTITY CLARITY Divisional / entity clarity Each sub-account carries its own account number, check stock, ACH routing, and reporting — enabling divisional accounting without separate legal entities.
PAYROLL SEGREGATION Payroll segregation Dedicated payroll sub-account: ACH payroll debits post only against the payroll sub-account, isolating payroll risk and supporting FLSA / payroll-tax audit requirements.	FRANCHISE OPERATIONS Franchise operations Sub-accounts for individual franchise locations; royalty and fee collections automated; central master consolidates cash.
SIMPLIFIED RECONCILIATION Simplified reconciliation Each sub-account reconciles to its own activity; master balance equals sum of daily transfers; eliminates inter-company wash-entry complexity.	EXTENDS ALL TREASURY SERVICES Extends all treasury services Sub-accounts can use Positive Pay, RDC, card acceptance, ACH origination, and lockbox just like standalone accounts — all feeding back to the concentrated master.

USE CASES

Common ZBA structures

STRUCTURE	USE CASE	TYPICAL SUB-ACCOUNT COUNT
Payroll segregation	Dedicated payroll sub-account; separate bank stock / routing; separate reconciliation	1–3 (domestic payroll, international payroll, garnishment trust)
Divisional accounting	One sub per business unit or division	3–25
Franchise / multi-location operations	One sub per franchise or retail location	10–500+
Escrow / trust	Client-funds trust accounts (law firms, brokers, property managers, title companies); required by state trust rules	Variable
Reserve / holdback	Contractor retainage, insurance reserve, litigation reserve	1–5
Disbursement control	Separate AP disbursement sub-account; fraud-attempt exposure contained to operating balance only	1
Multi-entity	Each legal entity has its own sub (must be documented separately for tax / FDIC purposes)	Variable (subject to legal separation)

SERVICE FEES

Pricing

COMPONENT	AMOUNT	NOTES
Master account	Cumulus Business Analyzed Checking pricing	Required foundation; ECR offsets sub-account fees
Per sub-account	\$25 / month per sub-account	Charged against master's analysis statement
Per-item pricing (sub-accounts)	Same as Analyzed Checking	Itemized in master analysis
ZBA setup (per sub-account)	\$50 one-time	Includes account opening, routing, and checks ordering
Volume tier — 50+ sub-accounts	\$20 / month per sub-account	Automatic discount
Volume tier — 200+ sub-accounts	\$15 / month per sub-account	Automatic discount
Volume tier — 500+ sub-accounts	Negotiated	Enterprise relationship

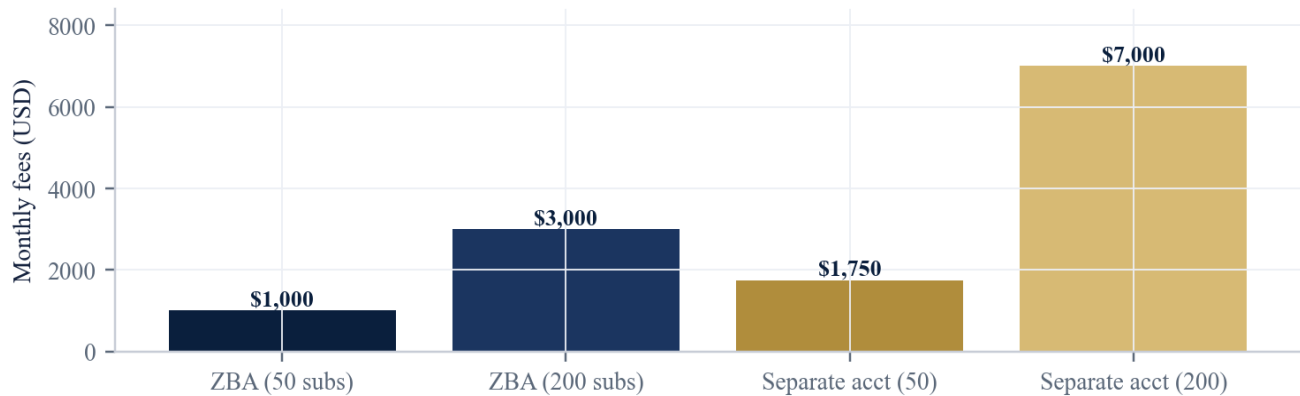
STRUCTURAL ECONOMICS

Cost comparison vs. separate accounts

The chart below compares ZBA sub-account cost versus maintaining separately-operating commercial checking accounts for a 50-location franchise operator. Beyond direct fee differential, ZBA unlocks earnings-credit optimization on the concentrated master and eliminates idle balances across locations.



Monthly treasury fees — ZBA vs. separate accounts



DAILY CYCLE

How ZBA operates

TIME (ET)	ACTIVITY
Continuous	Sub-accounts post transactions: check paid, ACH debit, ACH credit, wire in / out, deposits. Sub-balance may fluctuate above or below zero intraday.
5:30 p.m.	End-of-day balance on each sub-account determined.
5:35 p.m.	Sub-account positive balances transfer to master; sub-account negative balances (overdrafts) funded from master. All sub-accounts reset to \$0.
5:40 p.m.	Master balance reflects consolidated cash across the organization.
5:45 p.m.	Optional: sweep evaluates master for above-target cash and invests accordingly (see Sweep Account Services).
Next business day	Sub-accounts open at \$0; activity resumes; funding from master occurs as transactions hit the sub.
Monthly	Analysis statement reflects all sub-account fees and activity rolled up to the master.

OPERATIONAL RIGOR

Controls and integrations

- **Per-sub-account entitlements** — authorized signers, limits, and online-banking access set per sub-account. Division managers see only their sub-account.
- **Positive Pay on each sub-account** — Check Positive Pay and ACH Positive Pay operate at sub-account level with consolidated daily exception dashboard at master level.
- **ERP integration** — each sub-account reports separately to ERP; intercompany eliminations handled at ERP level, not at Cumulus.



- **Sweep compatibility** — the master account is the sweep source; sub-accounts cannot sweep individually but contribute to master's sweep.
- **Lockbox** — incoming remittance to a specific lockbox can deposit directly to a specified sub-account (for divisional AR segregation), then ZBA concentrates to master overnight.
- **Reporting rollup** — single consolidated report across all sub-accounts, with drill-down to any sub-account level.

COMMON QUESTIONS

Frequently asked questions

How does ZBA differ from sweep?

ZBA concentrates cash across multiple operating accounts into a single master daily — it moves cash between Cumulus DDAs, not into investments. Sweep then invests above-target cash in the concentrated master into overnight investment vehicles. ZBA and sweep are complementary, not alternatives — ZBA prepares the pool; sweep invests it.

Can sub-accounts have different ownership?

ZBA is designed for accounts held by the same legal entity in the same ownership capacity. Multi-entity ZBA structures are possible but require separate legal and FDIC insurance considerations; the Cumulus Treasury Legal team reviews each arrangement for ownership documentation and appropriate agreements between entities.

What happens if a sub-account overdraws?

Intraday negative balances are normal — the sub is funded from the master at end-of-day. Persistent master overdraft (the entire relationship is negative after ZBA concentration) is treated as any overdraft: covered by a linked line of credit (preferred structure), paid with overdraft fees, or items returned per the service schedule.

Can I have separate authorized signers per sub-account?

Yes. Each sub-account is a separate DDA and may have its own authorized-signer card and online-banking entitlements. This is foundational to the payroll-segregation, divisional, and franchise use cases where operational separation is the core value proposition.

What's the FDIC implication of ZBA?

FDIC insurance (\$250,000 per depositor, per insured institution, per ownership category) applies at the depositor level across all Cumulus deposits — ZBA does not increase or decrease FDIC coverage. Amounts above \$250,000 may be protected via ICS (Insured Cash Sweep), CDARS, or sweep to Treasury-secured repo.

How are taxes and reporting handled?

The master account is the reporting unit for all interest (if interest-bearing) and for IRS Form 1099-INT. Sub-account transfers are internal bookkeeping, not reportable. Each sub-account produces its own statement for internal reporting, but tax reporting consolidates at master.



DISCLOSURES & REGULATORY NOTICES

Important disclosures

- § Zero Balance Account (ZBA) Services are provided by Cumulus Bank, N.A. under the Treasury Services Master Agreement and applicable service schedule. ZBA is an operating deposit structure; all sub-accounts are demand-deposit accounts held at Cumulus Bank.
- § FDIC insurance at \$250,000 per depositor per insured institution per account ownership category applies to the aggregate balance across related ZBA master and sub-accounts held by the same depositor in the same ownership capacity — not to each sub-account individually.
- § Inter-account transfers between ZBA master and sub-accounts are bookkeeping adjustments and do not constitute reportable transactions under 31 C.F.R. Part 1010 or Regulation D.
- § Overdraft at the sub-account level is covered by the master account; persistent overdraft at the master account triggers overdraft fees, sweep from a linked line-of-credit, or return of items per the client's service schedule.

ENGAGE A SPECIALIST

Connect with a Cumulus commercial banker

A Commercial Relationship Manager will assess your business's banking, credit, and treasury needs, coordinate supporting specialists, and return a term sheet or proposal on an expedited timeline. Existing Cumulus clients should contact their dedicated Relationship Manager directly.

COMMERCIAL DESK

954.417.2880

Client Services, Mon–Fri 7:00 a.m. – 9:00 p.m. ET · Sat 8:00 a.m. – 5:00 p.m. ET

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